

Financial Investment Tools	
Bank Fixed Deposits (FDs)	Superannuation
Bank Recurring Deposits (RDs)	Gold
PPF (Public Provident Fund)	Stocks
EPF (Employee Provident Fund)	Bonds
VPF (Voluntary Provident Fund)	Mutual Funds
National Pension Scheme (NPS)	FMPs (Fixed Maturity Plans) of MFs
Sukanya Samridhi Scheme (SSS)	Commodities
Gratuity	Real Estate

PPF (Public Provident Fund)

A Public Provident Fund (PPF) is one of the simplest long term investment strategies and planning tool available in your portfolio. Not only are your investments safe in a PPF but they also earn a high interest rate, and that too tax exempt.

An extremely important fact is that the interest earned through PPF savings is not taxable. All these factors coupled together make it the safest and the most efficient savings option to start investing in. PPF was started by the Government of India in lieu of the social security system that exists in countries like United States and other developed countries. (I doubt if a government can ever provide social security to a billion plus people in India.)

When I started working with Larsen and Toubro Limited, I was posted in Baroda (Gujarat) in 1995. I was fortunate enough to have been guided by my supervisor at a very young age (23 years) to open a PPF account and start making small but regular and disciplined investments into it. Although I never understood the importance of such investments at that stage of my life, I still went ahead and followed my boss's advice and opened a PPF account. You know, Boss is always right.

I started investing Rs 2,000 per month (which was roughly 20% of my salary in 1995 and a very sizeable sum in those days). I continued investing consistently for a few years till the so called "challenging situations" in my